

Executive Summary: FOMC Event-Window Strategy

SPY Contrarian Fade at 2:00 PM ET | MGMTMFE 412 — Market Frictions

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Intuition

Eight times a year, at exactly 2:00 PM ET, the Federal Reserve announces its interest rate decision. What happens in the next 60 seconds is remarkably consistent: algorithmic trading systems parse the statement in microseconds and flood the market with buy or sell orders — all in the same direction, all at the same time.

The problem is that the order book is nearly empty at that moment. In the 30 minutes before the announcement, market makers — anticipating that they will be on the wrong side of informed traders — have already widened their spreads and pulled their limit orders. When the HFT wave hits a thin book, prices move **more than they should**.

This overshoot is not permanent. Over the following 10–20 minutes, as human analysts read the full statement, press conference, and dot plot, the market corrects back toward fair value. **The strategy bets on that correction.**

The Friction That Creates the Opportunity

The pre-announcement spread widening is the key mechanism. It is not incidental — it is the *direct* consequence of adverse-selection theory: market makers price in the risk of trading against better-informed participants.

Measured across all five years in our sample, the spread in the 30 minutes before the FOMC announcement is systematically 10–30% wider than during the rest of the day. On matched non-FOMC control days, the same window shows no widening at all.

This widened spread does two things simultaneously: it **amplifies the overshoot** (by thinning the book) and it **raises the cost of entry** (by making the 2:01 PM trade more expensive). The friction creates the opportunity while also limiting it.

Strategy

At **2:01 PM** — one minute after the announcement — we observe the direction of the 2:00 PM bar and trade against it:

- If SPY rallied in the 2:00 PM bar → **short** SPY, exit at 2:15 PM
- If SPY fell in the 2:00 PM bar → **long** SPY, exit at 2:15 PM

No forecasting of the Fed decision is needed. We are not predicting policy — we are betting that whatever the initial algorithmic reaction was, it went too far.

Results

Tested across **40 FOMC events from 2021 to 2025**, the strategy’s performance depends sharply on the policy regime:

It works when the decision is anticipated (hold, or cut as expected). In these 32 events, the initial move was mechanical noise on top of small fundamental news, and it reversed. The strategy generated +\$2,354 net PnL with a Sharpe ratio of 0.83 and a p-value of 0.048 — statistically significant.

It breaks when the Fed is in an aggressive hiking cycle (2022). In those 8 events, the initial drop was not overshoot — it was the market repricing the entire yield curve. The strategy lost −\$787, going long into a market that kept falling for hours.

The **placebo test** confirms the edge is FOMC-specific: running the identical strategy on 39 matched non-FOMC control days produces essentially zero net PnL across five years.

Scenario	Events	Net PnL	Sharpe	p-value
Hold / cut cycles (2021, 2023–2025)	32	+\$2,354	0.83	0.048
Aggressive hiking cycle (2022)	8	−\$787	−0.53	0.61
Non-FOMC control days (placebo)	39	+\$278	+0.15	0.75

The Key Risk

The December 18, 2024 meeting illustrates the primary failure mode. The Fed cut rates as expected — but then delivered unexpectedly hawkish guidance about fewer cuts in 2025. SPY fell. The strategy went long. SPY kept falling for the rest of the day.

When the Fed delivers a surprise in *guidance* rather than (or in addition to) the rate decision itself, the initial move is not overshoot — it is new information being processed. This type of “dual surprise” cannot be filtered in advance, and a single event can erase several months of gains.

Connection to Market Frictions

This strategy is the mirror image of the lead-lag study. There, the bid-ask spread *prevented* a real alpha from being exploited. Here, the same spread mechanism — driven by the same adverse-selection logic — *creates* the trading opportunity by thinning the book and amplifying the HFT overshoot.

Friction is not uniformly harmful. Whether it kills an opportunity or creates one depends entirely on which side of the information event you are positioned on.